

## Bond encashment options: £50,000.00 from an onshore bond

Our own model (v1.0, August 2026) on the statutory rules, with the top slicing computation verified against HMRC's worked examples (IPTM3850). Not a provider replica. Indicative and not advice.  
Ginkgo Financial Ltd | Produced by The Advice Engine | 08 Sep 2026, 16:37 London | engine v105

| THE BOND                                            | Value        | How it is calculated                    | Source of the figure                                                                                                                                                                 |
|-----------------------------------------------------|--------------|-----------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Wrapper                                             | Onshore bond | input                                   | Onshore bonds carry a 20% credit for tax paid inside the fund; offshore bonds pay gross roll up and carry no credit                                                                  |
| Segments (separate policies) the bond is written in |              |                                         | From the provider's schedule. This is the input that changes the answer most, and a bond cannot be segmented after outset                                                            |
|                                                     |              | 20.00 input                             |                                                                                                                                                                                      |
| Total surrender value now                           | £180,000.00  | input                                   | From the provider's current valuation                                                                                                                                                |
| Value of one segment                                |              |                                         | Equal shares. Where the provider states different values per segment, the engine uses those instead and says so in the notes                                                         |
|                                                     | £9,000.00    | C8 / C7                                 |                                                                                                                                                                                      |
| Premiums paid in total                              | £100,000.00  | £100,000.00 in policy year 1            | Each premium and the policy year it was paid, entered by the adviser from the provider's history                                                                                     |
| Premium attributable to one segment                 | £5,000.00    | C10 / C7                                | Premiums are paid into the whole bond and divide equally between the segments                                                                                                        |
| Complete policy years since commencement            |              | 12.00 input                             | Complete years, not part years. The policy anniversary governs, not the tax year                                                                                                     |
| Part surrenders already taken from the bond         |              |                                         | Cumulative, including any adviser fee taken from the bond: a fee paid out of a bond is a part surrender and uses the 5% allowance                                                    |
|                                                     | £0.00        | input                                   |                                                                                                                                                                                      |
| Chargeable event gains already assessed             | £0.00        | input                                   | From the provider's chargeable event certificates. Deducted so the same gain is not taxed twice                                                                                      |
| What the bond has actually made to date             |              |                                         | The real economic gain. A part surrender can produce a chargeable gain LARGER than this figure, which is the 5% rule working as designed                                             |
|                                                     | £80,000.00   | C8 + C13 - C10 - C14                    |                                                                                                                                                                                      |
| Gain on surrendering one whole segment              |              |                                         | A segment is its own policy, so surrendering it in full is a FINAL chargeable event: value, plus capital already taken out of it, less its premium, less gains already charged on it |
|                                                     | £4,000.00    | C9 + C13/C7 - C11 - C14/C7              |                                                                                                                                                                                      |
| THE 5% ALLOWANCE                                    | Value        | How it is calculated                    | Source of the figure                                                                                                                                                                 |
| Cumulative 5% allowance accrued                     | £60,000.00   | 5% of each premium for each policy year | IPTM3505. Held as a value because the accrual runs premium by premium from each premium's own year                                                                                   |
| Allowance used by withdrawals already taken         | £0.00        | min(C19, C13)                           | Withdrawals use the allowance in the order they were taken                                                                                                                           |

|                        |                              |                                                                                                                                          |
|------------------------|------------------------------|------------------------------------------------------------------------------------------------------------------------------------------|
| Allowance still unused |                              | What can still be taken as a part surrender with no chargeable gain.<br>It is a DEFERRAL: it comes back into the gain on final surrender |
|                        | £60,000.00 max(0, C19 - C13) |                                                                                                                                          |

| THE YEARS FOR SLICING                                          | Value | How it is calculated                           | Source of the figure                                                                                                                                                                     |
|----------------------------------------------------------------|-------|------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Years for a FINAL event (whole segments)                       |       | 12.00 complete policy years since commencement | ITTOIA s.536; IPTM3830                                                                                                                                                                   |
| Years for an EXCESS event (part surrender above the allowance) |       |                                                | ITTOIA s.536; IPTM3830. Finance Act 2013 brought offshore policies taken out or added to on or after 6 April 2013 into line with onshore. A shorter period means less top slicing relief |
|                                                                |       | 12.00 complete years since the later of comm   |                                                                                                                                                                                          |

| WHOSE INCOME THE GAIN SITS ON              | Value          | How it is calculated  | Source of the figure                                                                                  |
|--------------------------------------------|----------------|-----------------------|-------------------------------------------------------------------------------------------------------|
| Amount the client needs to take out        | £50,000.00     | input                 | Entered by the adviser from the client's stated requirement                                           |
| The bond owner: other income this tax year |                |                       | All other taxable income for the year of the withdrawal. The gain sits ON TOP of it as savings income |
|                                            | £45,000.00     | input                 |                                                                                                       |
| The bond owner: band before any gain       | Basic rate     | from the income above | The band the gain starts from                                                                         |
| Third party                                |                |                       | The money is for the bond owner, so no assignment was considered                                      |
|                                            | None entered   | not applicable        |                                                                                                       |
| Third party band                           | not applicable | not applicable        | Not applicable                                                                                        |

| ROUTE: PART SURRENDER ACROSS THE WHOLE BOND | Value      | How it is calculated                   | Source of the figure                                                              |
|---------------------------------------------|------------|----------------------------------------|-----------------------------------------------------------------------------------|
| Money this route raises                     | £50,000.00 | Take £50,000.00 proportionately across | Gross, before the tax below                                                       |
| Whole segments surrendered                  | 0.00       | none                                   | Each is a separate policy                                                         |
| Taken as a part surrender                   |            |                                        | An excess above the allowance is a chargeable event gain whatever the bond earned |
|                                             | £50,000.00 | tested against the 5% allowance        |                                                                                   |

|                       |           |                                                                                                                                                                                          |
|-----------------------|-----------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Chargeable event gain |           | One chargeable event, relieved under s.536. Where a route produces two in the same tax year the relief is s.537 instead, and it is not the same answer as relieving each gain separately |
|                       | £0.00 nil |                                                                                                                                                                                          |

|                                          |            |                                                                                            |
|------------------------------------------|------------|--------------------------------------------------------------------------------------------|
| Gain still latent in the bond afterwards |            | THE COMPARISON IS NOT COMPLETE WITHOUT THIS. A route that defers a gain has not removed it |
|                                          | £80,000.00 | value left, plus withdrawals attributable                                                  |
| 5% allowance left afterwards             |            | What is available for the next withdrawal without a chargeable event                       |
|                                          | £10,000.00 | the surviving segments' share of the acc                                                   |

|                                            |            |                                             |                                                                                                                                        |
|--------------------------------------------|------------|---------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| Tax if the gain falls on The bond owner    | £0.00      | gain on top of £45,000.00 of other income   | No assignment needed: the owner surrenders                                                                                             |
| Top slicing relief given to The bond owner |            |                                             | ss.535 to 537 ITTOIA, by HMRC's method in IPTM3840, with the personal allowance and PSA recalculated on the slice (the FA 2020 change) |
|                                            | £0.00      | liability before relief £0.00 less relieved |                                                                                                                                        |
| Net cash after tax, The bond owner         |            |                                             | Whoever the gain falls on also receives the money on that route                                                                        |
|                                            | £50,000.00 | C35 - C41                                   |                                                                                                                                        |

| ROUTE: SURRENDER 6 WHOLE SEGMENTS IN FULL        | Value             | How it is calculated                                     | Source of the figure                                                                                                                                                                            |
|--------------------------------------------------|-------------------|----------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Money this route raises                          | £54,000.00        | Fully surrender 6 of the 20 segments, raising a          | Gross, before the tax below                                                                                                                                                                     |
| Whole segments surrendered                       | 6.00              | final chargeable event on each of them                   | Each is a separate policy                                                                                                                                                                       |
| Taken as a part surrender                        | £0.00             | none                                                     | An excess above the allowance is a chargeable event gain whatever the bond earned                                                                                                               |
| <b>Chargeable event gain</b>                     | <b>£24,000.00</b> | <b>£24,000.00 over 12 years (Final event chargeable)</b> | <b>One chargeable event, relieved under s.536. Where a route produces two in the same tax year the relief is s.537 instead, and it is not the same answer as relieving each gain separately</b> |
| Gain still latent in the bond afterwards         | £56,000.00        | value left, plus withdrawals attributable to the gain    | THE COMPARISON IS NOT COMPLETE WITHOUT THIS. A route that defers a gain has not removed it                                                                                                      |
| 5% allowance left afterwards                     | £42,000.00        | the surviving segments' share of the account             | What is available for the next withdrawal without a chargeable event                                                                                                                            |
| Tax if the gain falls on The bond owner          | £0.00             | gain on top of £45,000.00 of other income                | No assignment needed: the owner surrenders ss.535 to 537 ITTOIA, by HMRC's method in IPTM3840, with the personal allowance and PSA recalculated on the slice (the FA 2020 change)               |
| Top slicing relief given to The bond owner       | £3,646.00         | liability before relief £3,646.00 less relief            | Whoever the gain falls on also receives the money on that route                                                                                                                                 |
| Net cash after tax, The bond owner               | £54,000.00        | C46 - C52                                                |                                                                                                                                                                                                 |
| ROUTE: SURRENDER 5 WHOLE SEGMENTS AND STOP THERE | Value             | How it is calculated                                     | Source of the figure                                                                                                                                                                            |
| Money this route raises                          | £45,000.00        | Fully surrender 5 of the 20 segments, raising a          | Gross, before the tax below                                                                                                                                                                     |
| Whole segments surrendered                       | 5.00              | final chargeable event on each of them                   | Each is a separate policy                                                                                                                                                                       |
| Taken as a part surrender                        | £0.00             | none                                                     | An excess above the allowance is a chargeable event gain whatever the bond earned                                                                                                               |
| <b>Chargeable event gain</b>                     | <b>£20,000.00</b> | <b>£20,000.00 over 12 years (Final event chargeable)</b> | <b>One chargeable event, relieved under s.536. Where a route produces two in the same tax year the relief is s.537 instead, and it is not the same answer as relieving each gain separately</b> |
| Gain still latent in the bond afterwards         | £60,000.00        | value left, plus withdrawals attributable to the gain    | THE COMPARISON IS NOT COMPLETE WITHOUT THIS. A route that defers a gain has not removed it                                                                                                      |
| 5% allowance left afterwards                     | £45,000.00        | the surviving segments' share of the account             | What is available for the next withdrawal without a chargeable event                                                                                                                            |
| Tax if the gain falls on The bond owner          | £0.00             | gain on top of £45,000.00 of other income                | No assignment needed: the owner surrenders ss.535 to 537 ITTOIA, by HMRC's method in IPTM3840, with the personal allowance and PSA recalculated on the slice (the FA 2020 change)               |
| Top slicing relief given to The bond owner       | £2,846.00         | liability before relief £2,846.00 less relief            |                                                                                                                                                                                                 |

Net cash after tax, The bond owner

£45,000.00 C57 - C63

Whoever the gain falls on also receives the money on that route

| ROUTE: SURRENDER 5 WHOLE SEGMENTS, THEN PART SURRENDER | Value             | How it is calculated                           | Source of the figure                                                                                                                                                                            |
|--------------------------------------------------------|-------------------|------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Money this route raises                                | £50,000.00        | Fully surrender 5 segments for £45,000.        | Gross, before the tax below                                                                                                                                                                     |
| Whole segments surrendered                             | 5.00              | final chargeable event on each of them         | Each is a separate policy                                                                                                                                                                       |
| Taken as a part surrender                              | £5,000.00         | tested against the 5% allowance                | An excess above the allowance is a chargeable event gain whatever the bond earned                                                                                                               |
| <b>Chargeable event gain</b>                           | <b>£20,000.00</b> | <b>£20,000.00 over 12 years (Final event c</b> | <b>One chargeable event, relieved under s.536. Where a route produces two in the same tax year the relief is s.537 instead, and it is not the same answer as relieving each gain separately</b> |
| Gain still latent in the bond afterwards               | £60,000.00        | value left, plus withdrawals attributable      | THE COMPARISON IS NOT COMPLETE WITHOUT THIS. A route that defers a gain has not removed it                                                                                                      |
| 5% allowance left afterwards                           | £40,000.00        | the surviving segments' share of the acc       | What is available for the next withdrawal without a chargeable event                                                                                                                            |
| Tax if the gain falls on The bond owner                | £0.00             | gain on top of £45,000.00 of other incom       | No assignment needed: the owner surrenders                                                                                                                                                      |
| Top slicing relief given to The bond owner             | £2,846.00         | liability before relief £2,846.00 less relie   | ss.535 to 537 ITTOIA, by HMRC's method in IPTM3840, with the personal allowance and PSA recalculated on the slice (the FA 2020 change)                                                          |
| Net cash after tax, The bond owner                     | £50,000.00        | C68 - C74                                      | Whoever the gain falls on also receives the money on that route                                                                                                                                 |

| THE ANSWER                                  | Value          | How it is calculated                                                  | Source of the figure                                                                            |
|---------------------------------------------|----------------|-----------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| <b>Cheapest route that raises the money</b> |                | <b>Part surrender across lowest tax of the routes above that rais</b> | <b>Indicative and not advice: the tax is one factor and it is rarely the only one</b>           |
| Whose income the gain falls on              | The bond owner | the owner, as the bond stands                                         | An assignment for money or money's worth is itself a chargeable event and does not achieve this |
| <b>Tax on that route</b>                    | <b>£0.00</b>   | <b>from the route section above</b>                                   | <b>Stated figure</b>                                                                            |
| Net cash the client receives                | £50,000.00     | money raised less the tax                                             | Stated figure                                                                                   |
| What choosing correctly is worth            | £0.00          | the dearest route that also raises the m                              | The reason this comparison is on the file                                                       |

#### ASSUMPTIONS AND GOVERNANCE

1. The engine's own model on the statutory rules. There is no provider sheet to replicate: the top slicing computation is HMRC's
2. A SEGMENT IS A SEPARATE POLICY. Surrendering whole segments is a final chargeable event on those policies: the gain is the real
3. The number of years each gain slices over is ITTOIA s.536, as set out in IPTM3830: complete policy years since commencement for
4. The 5% allowance DEFERS tax, it does not cancel it. Every pound taken inside the allowance is added back into the gain when the
5. THE ORDER MATTERS AND IT CANNOT BE FIXED AFTERWARDS. The assignment has to be legally complete BEFORE the surrender.
6. Whole segments do not divide into the amount needed, so this route raises MORE than the client asked for. The surplus is taxable

7. This route raises LESS than the client needs. It is shown because it is the cheapest way to get most of the way there, but on its own
8. The gain pushes the client from one tax band into a higher one. Top slicing relief reduces the tax on the gain but the whole gain still
9. The bond is onshore and the client is a basic rate taxpayer both before and after the gain, so the 20% credit for the tax already paid
10. A period of non-UK residence during the policy term reduces the gain (and the years for slicing) by that period: s.528 ITTOIA for
11. A bond whose assets the policyholder can select outside the permitted categories suffers an annual deemed gain of 15% of
12. On file before this is actioned: The provider's schedule confirming the number of segments and the value of each. The segment
13. On file before this is actioned: The premium history: every premium and the date it was paid. The 5% allowance accrues per
14. On file before this is actioned: A chargeable event history: every previous excess event, its amount and its date. The last excess
15. On file before this is actioned: Confirmation from the provider that the bond is not a personal portfolio bond.
16. On file before this is actioned: The client's expected other income for the tax year of the withdrawal, including anything already
17. On file before this is actioned: Confirmation that the owner has been UK resident throughout the policy term. A period abroad
18. Indicative and NOT advice. The provider's own illustration governs: where the illustration and this calculation differ, use the